

Immediate Finance Arrangement

Dividend Scale	Current Less 1%	Corporate Tax Rate	50.17%
First Year Deposit	\$100,000	Bank Loan Rate:	5.00%
Initial Death Benefit	\$1,400,000	CSV margined at	100.00%
This illustration assumes tax savings arise as a result of claiming a deduction for the loan interest.			
This illustration assumes tax savings arise as a result of claiming the collateral insurance deduction.			

Prepared For: M 59 NS

Presented By:

Internal Rate of Return: 8.00% (after tax, assuming death at year 26)

PAR LIFE INSURANCE PLAN						CORPORATE BANK LOAN				NET VALUES		
Yr	Age M	Annual Deposit	Cash Surrender Value	Total Death Benefit	CDA Credit	Annual Loan Advance	Net Loan Interest Paid	Outstanding Loan Balance	Additional Collateral Required	Net Cash Flow	Net to Corporation at Death	Loan to CSV %
1	60	100,000	58,209	1,530,869	1,433,548	100,000	5,000	100,000	46,434	(5,000)	1,430,869	171.79%
2	61	100,000	120,852	1,663,410	1,470,162	100,000	7,404	200,000	87,942	(7,404)	1,463,410	165.49%
3	62	100,000	187,659	1,796,779	1,508,959	100,000	9,737	300,000	124,824	(9,737)	1,496,779	159.86%
4	63	100,000	257,829	1,929,014	1,548,120	100,000	12,020	400,000	157,968	(12,020)	1,529,014	155.14%
5	64	100,000	331,190	2,059,731	1,587,453	100,000	14,246	500,000	187,566	(14,246)	1,559,731	150.97%
6	65	100,000	424,853	2,189,392	1,627,668	100,000	16,408	600,000	194,608	(16,408)	1,589,392	141.23%
7	66	100,000	529,017	2,318,609	1,669,662	100,000	18,498	700,000	189,982	(18,498)	1,618,609	132.32%
8	67	100,000	643,982	2,447,752	1,714,122	100,000	20,505	800,000	173,353	(20,505)	1,647,752	124.23%
9	68	100,000	770,021	2,577,175	1,761,764	100,000	22,420	900,000	144,422	(22,420)	1,677,175	116.88%
10	69	100,000	907,392	2,707,219	1,813,305	100,000	24,232	1,000,000	102,898	(24,232)	1,707,219	110.21%
11	70	0	956,361	2,663,449	1,793,660	0	20,931	1,000,000	48,488	(20,931)	1,663,449	104.56%
12	71	0	1,013,079	2,622,923	1,780,079	0	20,371	1,000,000	0	(20,371)	1,622,923	98.71%
13	72	0	1,077,744	2,585,720	1,772,899	0	19,761	1,000,000	0	(19,761)	1,585,720	92.79%
14	73	0	1,150,557	2,551,917	1,772,398	0	19,090	1,000,000	0	(19,090)	1,551,917	86.91%
15	74	0	1,231,716	2,521,585	1,778,867	0	18,368	1,000,000	0	(18,368)	1,521,585	81.19%
16	75	0	1,269,715	2,494,070	1,791,894	0	17,593	1,000,000	0	(17,593)	1,494,070	78.76%
17	76	0	1,308,674	2,468,528	1,809,280	0	16,759	1,000,000	0	(16,759)	1,468,528	76.41%
18	77	0	1,348,943	2,444,868	1,830,969	0	16,190	1,000,000	0	(16,190)	1,444,868	74.13%
19	78	0	1,390,656	2,423,032	1,856,897	0	15,962	1,000,000	0	(15,962)	1,423,032	71.91%
20	79	0	1,433,965	2,402,970	1,887,004	0	15,881	1,000,000	0	(15,881)	1,402,970	69.74%
21	80	0	1,479,045	2,384,638	1,921,198	0	15,806	1,000,000	0	(15,806)	1,384,638	67.61%
22	81	0	1,526,107	2,368,003	1,959,369	0	15,736	1,000,000	0	(15,736)	1,368,003	65.53%
23	82	0	1,575,021	2,353,034	2,001,373	0	15,671	1,000,000	0	(15,671)	1,353,034	63.49%
24	83	0	1,625,297	2,339,715	2,047,031	0	15,612	1,000,000	0	(15,612)	1,339,715	61.53%
25	84	0	1,676,638	2,328,008	2,096,084	0	15,559	1,000,000	0	(15,559)	1,328,008	59.64%
26	LE 85	0	1,728,941	2,317,855	2,148,172	0	15,513	1,000,000	0	(15,513)	1,317,855	57.84%
27	86	0	1,782,114	2,309,199	2,202,842	0	15,472	1,000,000	0	(15,472)	1,309,199	56.11%
28	87	0	1,836,053	2,301,986	2,259,481	0	15,436	1,000,000	0	(15,436)	1,301,986	54.46%
29	88	0	1,890,602	2,296,168	2,296,168	0	15,406	1,000,000	0	(15,406)	1,296,168	52.89%
30	89	0	1,945,587	2,291,700	2,291,700	0	15,382	1,000,000	0	(15,382)	1,291,700	51.40%
31	90	0	2,000,339	2,287,911	2,287,911	0	15,364	1,000,000	0	(15,364)	1,287,911	49.99%

The Annual Deposit is immediately offset 100% by the Annual Loan Advance, resulting in zero net capital outlay.

The Outstanding Loan Balance is explicitly modelled to grow and renew until death.

Tax Deductions: The schedule explicitly represents projected tax recoveries from loan interest and NCPI deductions.